unseemly; sell appreciating assets that "everyone" is sure will go further; and concentrate their portfolios in their few best ideas. Why? Because they fear the consequences of being wrong.

"Agents" who manage money for others worry that acting boldly will expose them to the risk of being fired by their employers or terminated by their clients. Thus, they moderate their actions, doing only that which is considered prudent and uncontroversial. That's the tendency that caused John Maynard Keynes to observe, "Worldly wisdom teaches that it is better for reputation to fail conventionally than to succeed unconventionally." But that tendency introduces an important conundrum: if you're unwilling to take a position so bold that it can embarrass you if it fails, it's correspondingly impossible to take a position that can make a real difference if it works out well. Great investors are able to follow up their intellectual conclusions with action; in short, they dare to be great.

Warren obviously doesn't have to worry about being let go by his employer. His position is as close to permanent as there is, as is his capital. There are no clients able to withdraw their capital, mandating the sale of assets at bargain prices as befalls the typical money manager during market crashes. This simple fact plays a significant part in any great investor's success, and I'm sure it's no coincidence that Warren set things up this way, transitioning from a hedge fund structure to Berkshire Hathaway's corporate form. He wouldn't have it any other way.

Of course, Warren Buffett shares many other attributes of outstanding investors. He's focused, disciplined, and purposeful; he's hard working; he's highly numerate and logical; he's a voracious collector of information, through both reading and networking with people he respects; and at this point, he invests because he enjoys solving the complex intellectual problem that it represents, not to gain fame or make money. Those latter things are the by-product of his efforts, but not his goal, I'm sure.

In theory, many others could have done what Warren Buffett did over the last 60 years. The attributes listed above are rare, but not unique. And each one makes compelling sense; who would take the other side of any of these propositions? It's just that few people are able to demonstrate all of them in